



# Housing Levy Overview

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## What is the Housing Levy?

The Housing Levy is a **mandatory statutory contribution** paid by employers and employees under the **Affordable Housing Act, 2024**. It is remitted to the Affordable Housing Fund to support the delivery of affordable housing across Kenya.

## Legal Basis

| Law                    | Provision                                             |
|------------------------|-------------------------------------------------------|
| Housing Act (Cap. 117) | Establishes the Housing Fund under the control of NHC |

| Law                                | Provision                                                                 |
|------------------------------------|---------------------------------------------------------------------------|
| Employment Act, 2007 (Section 31A) | Provides for employer and employee contributions                          |
| Finance Act 2018                   | Mandates 3% employer and 3% employee contributions                        |
| Affordable Housing Act, 2024       | Ring-fences levy funds for housing, infrastructure, and financing support |

## Contribution Rates

| Contributor | Rate                          |
|-------------|-------------------------------|
| Employer    | 3% of employee's gross salary |
| Employee    | 3% of gross salary            |
| Total       | 6% of gross salary            |

## How the Housing Levy is Used

The levy funds are channeled to the **Affordable Housing Fund** and used for:

| Purpose              | Description                                                             |
|----------------------|-------------------------------------------------------------------------|
| Construction         | Building affordable housing units nationwide                            |
| Infrastructure       | Developing roads, water, electricity, and social amenities              |
| Affordable Financing | Supporting the Tenant Purchase Scheme (TPS) and low-interest home loans |

## Key Principle: Ring-Fencing

 **Funds are ring-fenced under the Affordable Housing Fund and cannot be used for other purposes.** Regular audits ensure accountability and transparency.

## Key Distinction: Housing Levy vs. Voluntary Savings

| Aspect                         | Housing Levy                                                                                                 | Voluntary Savings                                                                                                      |
|--------------------------------|--------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|
| Nature                         | Mandatory statutory contribution                                                                             | Personal voluntary savings                                                                                             |
| Purpose                        | Funds national housing infrastructure and financing                                                          | Goes toward your personal deposit for a unit                                                                           |
| Refundable                     |  <b>No</b> – not refundable |  <b>Yes</b> – refundable on request |
| Appears in Boma Yangu Balance? | No                                                                                                           | Yes                                                                                                                    |
| Who Pays                       | Employers and employees (3% each)                                                                            | Anyone who registers on Boma Yangu                                                                                     |
| Benefit                        | Access to below-market pricing and affordable financing                                                      | Personal contribution toward home ownership                                                                            |

## Benefits of Paying the Levy

-  **Lower-than-market home prices** – Subsidized rates made possible by the levy
-  **Access to modern social amenities** – Schools, healthcare, and community facilities
-  **Affordable financing options** – TPS (up to 7% interest, 25–30 year tenure)
-  **Job creation** – The programme creates 3–5 direct jobs per unit constructed

- ✓ **National infrastructure development** – Roads, water, and electricity in your community

## Quick Facts

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- 📌 **The Housing Levy is 6% of gross salary** (3% employer + 3% employee).
- 📌 **It is NOT refundable** but gives you access to subsidized housing and affordable financing.
- 📌 **Voluntary savings are separate** and appear in your Boma Yangu balance.
- 📌 **Funds are ring-fenced** and audited for transparency.

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### END OF DOCUMENT

Prepared by the State Department for Housing and Urban Development, Kenya  
For more information, visit the **Boma Yangu** portal.